

Academic Libertarianism

To borrow from Warren Buffett, don't ask the barber if you need a haircut—and don't ask an academic if what he does is relevant. So I'll end this discussion of Hayek's libertarianism with the following observation. As I've said, the problem with organized knowledge is that there is an occasional divergence of interests between academic guilds and knowledge itself. So I cannot for the life of me understand why today's libertarians do not go after tenured faculty (except perhaps because many libertarians are academics). We saw that companies can go bust, while governments remain. But while governments remain, civil servants can be demoted and congressmen and senators can be eventually voted out of office. In academia a tenured faculty is permanent—the business of knowledge has permanent “owners.” Simply, the charlatan is more the product of control than the result of freedom and lack of structure.

Prediction and Free Will

If you know all possible conditions of a physical system you can, in theory (though not, as we saw, in practice), project its behavior into the future. But this only concerns inanimate objects. We hit a stumbling block when social matters are involved. It is another matter to project a future when humans are involved, *if you consider them living beings and endowed with free will*.

If I can predict all of your actions, under given circumstances, then you may not be as free as you think you are. You are an automaton responding to environmental stimuli. You are a slave of destiny. And the illusion of free will could be reduced to an equation that describes the result of interactions among molecules. It would be like studying the mechanics of a clock: a genius with extensive knowledge of the initial conditions and the causal chains would be able to extend his knowledge to the future of *your* actions. Wouldn't that be stifling?

However, if you believe in free will you can't truly believe in social science and economic projection. You cannot predict how people will act. Except, of course, if there is a trick, and that trick is the cord on which neoclassical economics is suspended. You simply assume that individuals will be *rational* in the future and thus act predictably. There is a strong link between rationality, predictability, and mathematical tractability. A rational individual will perform a *unique* set of actions in specified circumstances. There is one and only one answer to the question of how “rational” people satisfying their best interests would act. Rational actors must be coherent: they cannot prefer apples to oranges, oranges to pears, then pears to apples. If they did, then it